

LAWS OF THE FEDERATION OF NIGERIA

LAND USE ACT, 1978

(No. 6 of 1978)

Date of Commencement: 29th March, 1978

Arrangement of Sections

Part I – General

1. Vesting of all land in the State.
2. Control and management of land; advisory bodies.
3. Designation of urban areas.
4. Applicable law for interim management of land.

Part II – Principles of Land Tenure, Powers of Governor and Local Governments, and Rights of Occupiers

5. Powers of the Governor in relation to land.
6. Powers of local government in relation to land not in urban areas.
7. Restriction on rights of persons under the age of 21.
8. Special contracts.
9. Certificates of occupancy.
10. Conditions and provisions implied in certificate of occupancy.
11. Power of Governor or public officer to enter and inspect land and improvements.
12. Power of Governor to grant licences to take building materials.
13. Duty of occupier of statutory right of occupancy to maintain beacons.
14. Exclusive rights of occupiers.
15. Right to improvements.

Part III – Rents

16. Principles to be observed in fixing and revising rents.
17. Power of Governor to grant rights of occupancy free of rent or at reduced rent.
18. Acceptance of rent not to operate as a waiver of forfeiture.
19. Penal rent.
20. Additional penal rent for unlawful alienation.

Part IV – Alienation and Surrender of Rights of Occupancy

21. Prohibition of alienation of customary right of occupancy except with requisite consent or approval.
22. Prohibition of alienation of statutory right of occupancy without the consent of Governor.
23. Sub-underleases.
24. Devolution of rights of occupancy on death.
25. Effect of deed or will where non-customary law applies.
26. Null and void transactions and instruments.
27. Surrender of statutory rights of occupancy.

Part V – Revocation of Rights of Occupancy and Compensation

28. Power of Governor to revoke rights of occupancy.
29. Compensation payable on revocation of rights of occupancy.
30. Reference of disputes as to compensation.
31. Exclusion of application of the Public Lands Acquisition (Miscellaneous Provisions) Act, 1976.
32. Debt due to Government not extinguished by revocation.
33. Option to accept resettlement in case of revocation of right of occupancy.

Part VI – Transitional and Other Related Provisions

34. Transitional provisions on land in urban areas.
35. Compensation for improvements in certain cases.
36. Transitional provisions on land not in urban areas.
37. Penalty for false claims in respect of land.
38. Preservation of power of Governor to revoke rights of occupancy.

Part VII – Jurisdiction of Courts

39. Jurisdiction of High Courts.
40. Special provisions in respect of pending proceedings.
41. Jurisdiction of Area Courts or Customary Courts.
42. Proceedings for recovery of rent in respect of certificate of occupancy.

Part VIII – Supplemental

43. Prohibition of unauthorised use of land and penalties.
44. Service of notices.
45. Delegation of powers.
46. Power to make regulations.
47. Exclusion of certain proceedings.

- 48. Modification of existing laws.
 - 49. Exemption with respect to Federal Government lands.
 - 50. Validity of laws and instruments.
 - 51. Interpretation.
 - 52. Short title.
-

CHAPTER L5 – LAND USE ACT

An Act to vest all land comprised in the territory of each State (except land vested in the Federal Government or its agencies) solely in the Governor of the State, who shall hold such land in trust for the people and be responsible for allocation of land in all urban areas to individuals and organisations for residential, agricultural, commercial and other purposes; while Local Governments shall administer land in non-urban areas.

[1978 No. 6 | Commencement: 29th March, 1978]

PART I – GENERAL

Section 1 – Vesting of all land in the State

Subject to the provisions of this Act, all land comprised in the territory of each State in the Federation is hereby vested in the Governor of that State, and such land shall be held in trust and administered for the use and common benefit of all Nigerians in accordance with the provisions of this Act.

Section 2 – Control and management of land; advisory bodies

- From the commencement of this Act:
 - All land in urban areas shall be under the control and management of the Governor of each State.
 - All other land shall, subject to this Act, be under the control and management of the Local Government within the area of jurisdiction where the land is situated.
- There shall be established in each State a body to be known as the **Land Use and Allocation Committee** responsible for:
 - Advising the Governor on land management matters;
 - Advising the Governor on resettlement of persons affected by revocation of rights of occupancy;
 - Determining disputes as to compensation payable for improvements on land.
- The Committee shall consist of persons appointed by the Governor, including:
 - At least two estate surveyors or land officers of not less than five years' experience;
 - A legal practitioner.
- The Governor shall designate one member as Chairman.
- Each Local Government shall establish a **Land Allocation Advisory Committee** to advise on non-urban land administration.

Section 3 – Designation of urban areas

The Governor may, by order published in the State Gazette, designate parts of the State as urban areas for the purposes of this Act, subject to conditions prescribed by the National Council of States.

Section 4 – Applicable law for interim management of land

Until other provisions are made:

- (a) In States formerly under the Land Tenure Law of Northern Nigeria, land shall continue to be administered under that law, subject to modifications to conform with this Act.
- (b) In other States, land shall be administered in accordance with State Land Law, modified to conform with this Act.

PART II – PRINCIPLES OF LAND TENURE, POWERS OF GOVERNOR AND LOCAL GOVERNMENTS, AND RIGHTS OF OCCUPIERS

Section 5 – Powers of the Governor in relation to land

1. It shall be lawful for the Governor, in respect of land whether urban or rural, to:
 - (a) Grant statutory rights of occupancy to any person for all purposes;
 - (b) Grant easements appurtenant to statutory rights of occupancy;
 - (c) Demand rental for any such land granted;
 - (d) Revise such rent:
 - (i) At intervals specified in the certificate of occupancy; or
 - (ii) Where no intervals are specified, at any time during the term of the statutory right of occupancy;
 - (e) Impose a penal rent for breach of covenants requiring development or improvements on the land;
 - (f) Impose a penal rent for breach of conditions restricting alienation without consent;
 - (g) Waive wholly or partially any covenants or conditions where compliance is impossible or would impose undue hardship;
 - (h) Extend the time for performance of any condition of occupancy upon such terms as he deems fit.
 2. Upon grant of a statutory right of occupancy, all existing rights to use or occupation of the land shall be extinguished.
-

Section 6 – Powers of local government in relation to land not in urban areas

1. A local government may:
 - (a) Grant customary rights of occupancy for agricultural, residential and other purposes;
 - (b) Grant customary rights of occupancy for grazing or purposes ancillary to agriculture.
2. No single customary right of occupancy shall exceed:
 - 500 hectares (agricultural purposes), or
 - 5,000 hectares (grazing), except with Governor's consent.
3. Local governments may enter upon, use and occupy land for public purposes, except where:

- (a) The land is in an urban area;
 - (b) The land is subject to a statutory right of occupancy;
 - (c) The land has been acquired by Government;
 - (d) The land is subject to mineral or oil laws.
 - 4. Local government shall have exclusive rights over such land against all persons except the Governor.
 - 5. Occupiers of customary rights revoked for public purposes are entitled to compensation for unexhausted improvements.
 - 6. Where land used for agriculture is revoked, the local government shall allocate alternative land for the same purpose.
 - 7. If the local government fails to pay compensation, the Governor may assess and direct payment.
-

Section 7 – Restriction on rights of persons under 21

The Governor shall not grant, assign, or consent to subletting of a statutory right of occupancy to a person under 21, except:

- (a) Through a guardian or trustee duly appointed;
 - (b) Where the right devolves upon a person under 21 by inheritance, such person shall assume full obligations.
-

Section 8 – Special contracts

Statutory rights of occupancy may be granted for a definite term and may be subject to special contracts made between the Governor and the holder, provided such terms are not inconsistent with this Act.

Section 9 – Certificates of occupancy

1. The Governor may issue a certificate of occupancy:
 - (a) When granting a statutory right of occupancy;
 - (b) When a customary occupier applies in the prescribed manner;
 - (c) When a person is entitled to a statutory right of occupancy.
2. The certificate shall be evidence of such right and termed a **Certificate of Occupancy**.
3. A person who refuses to accept or pay for a certificate may have it cancelled, and the Governor may revoke the right.

4. Conditions of a certificate are binding on the holder and successors, whether or not signed.
-

Section 10 – Conditions implied in certificate of occupancy

Every certificate of occupancy shall be deemed to contain provisions binding the holder to:

- (a) Pay to the Governor any sum for unexhausted improvements existing on the land at entry;
 - (b) Pay rent as fixed or revised by the Governor.
-

Section 11 – Power of entry and inspection

The Governor or authorised officers may enter and inspect any land held under statutory right of occupancy, and the occupier must grant access.

Section 12 – Licences to take building materials

1. The Governor may license persons to enter land (not subject to a right of occupancy or mining lease) and remove building materials such as stone, gravel, clay, or sand.
 2. Such licences may be subject to conditions and time limits.
 3. No licence shall exceed 400 hectares.
 4. Transfer of licences without Governor's consent is void.
 5. The Governor may cancel licences for breach of conditions.
-

Section 13 – Duty to maintain beacons

Holders of statutory rights must maintain boundary beacons in good repair. If they fail to do so, the Governor may enforce repairs and recover costs.

Section 14 – Exclusive rights of occupiers

Subject to other laws, the occupier has exclusive rights against all persons other than the Governor.

Section 15 – Right to improvements

The holder of a statutory right of occupancy shall:

- (a) Have absolute possession of improvements;
 - (b) May transfer, assign, or mortgage improvements with Governor's consent.
-

PART III – RENTS

Section 16 – Principles in fixing and revising rents

In fixing rents, the Governor:

- (a) Shall consider rents of neighbouring lands and circumstances of the case;
 - (b) Shall not consider capital improvements by occupiers.
-

Section 17 – Rights of occupancy free or reduced rent

- 1. The Governor may grant rights of occupancy free of rent or at reduced rent in the public interest.
 - 2. The Governor may later impose rent even if initially free.
-

Section 18 – Acceptance of rent not to waive forfeiture

Acceptance of rent does not waive the Governor's right to enforce forfeiture for breach of conditions.

Section 19 – Penal rent

- 1. If a holder breaches development covenants, the Governor may impose a penal rent payable annually.
 - 2. Penal rent is in addition to regular rent, recoverable as rent.
 - 3. Penal rent may not exceed double the last penal rent imposed.
 - 4. Notice of penal rent must be given one month before enforcement.
 - 5. The Governor may refund part of penal rent if breach is remedied.
 - 6. Penal rent does not prevent revocation of occupancy.
-

Section 20 – Additional penal rent for unlawful alienation

- 1. If a holder unlawfully alienates land, the Governor may demand daily penal rent until rectified.
- 2. Such rent is recoverable as rent.
- 3. Acceptance of such rent does not waive breach.

PART IV – ALIENATION AND SURRENDER OF RIGHTS OF OCCUPANCY

Section 21 – Prohibition of alienation of customary right of occupancy except with consent or approval

It shall not be lawful to alienate a customary right of occupancy or any part thereof by assignment, mortgage, transfer of possession, sublease or otherwise—

(a) without the consent of the Governor, where the property is to be sold by or under court order under the Sheriffs and Civil Process Law; or

(b) in other cases, without the approval of the appropriate local government.

Section 22 – Prohibition of alienation of statutory right of occupancy without Governor's consent

1. No holder of a statutory right of occupancy shall alienate it (by assignment, mortgage, transfer of possession, sublease, or otherwise) without the prior consent of the Governor.

Provided that consent is not required for:

- (a) Creation of a legal mortgage where an equitable mortgage already exists with Governor's consent;
- (b) Reconveyance or release by a mortgagee to the holder/occupier;
- (c) Renewal of a sublease, where Governor had consented to the original sublease.

2. The Governor may require the instrument of alienation to be submitted for endorsement of his consent.
-

Section 23 – Sub-underleases

1. A sub-lessee of a statutory right of occupancy may, with the prior consent of the Governor and the approval of the holder, demise by way of sub-underlease the land comprised in his sublease.
2. The provisions of Section 22(2) apply mutatis mutandis to sub-underleases.

Section 24 – Devolution of rights of occupancy on death

On death of a holder—

- (a) For a customary right of occupancy, devolution shall be governed by the applicable customary law unless non-customary law applies.
- (b) For a statutory right of occupancy, devolution shall be governed by the deceased's customary law, unless otherwise provided.

Provided that:

- (c) No customary law shall deprive any person of beneficial interests in land or its proceeds of sale to which they are entitled by inheritance under other customary law.
- (d) Statutory rights of occupancy shall not be divided into two or more parts on devolution without Governor's consent.

Section 25 – Effect of deed or will where non-customary law applies

Where non-customary law applies, no deed or will shall create proprietary rights over land except by a plain transfer of the whole rights of occupancy.

Section 26 – Null and void transactions and instruments

Any transaction or instrument purporting to confer an interest in land contrary to this Act shall be null and void.

Section 27 – Surrender of statutory rights of occupancy

The Governor may accept surrender of a statutory right of occupancy on such terms and conditions as he deems proper.

PART V – REVOCATION OF RIGHTS OF OCCUPANCY AND COMPENSATION

Section 28 – Power of Governor to revoke rights of occupancy

1. The Governor may revoke rights of occupancy for overriding public interest.
 2. **Overriding public interest (statutory rights) includes:**
 - (a) Alienation contrary to this Act;
 - (b) Requirement of land by State, Local or Federal Government for public purposes;
 - (c) Requirement for mining, oil pipelines or related purposes.
 3. **Overriding public interest (customary rights) includes:**
 - (a) Requirement of land by Government (State, Local, or Federal) for public purposes;
 - (b) Requirement for mining or oil pipelines;
 - (c) Requirement for extraction of building materials;
 - (d) Alienation without requisite consent/approval.
 4. The Governor must revoke occupancy if President issues notice that land is required for Federal purposes.
 5. Revocation may also occur for:
 - (a) Breach of conditions deemed in certificate (section 10);
 - (b) Breach of terms in certificate or special contract;
 - (c) Refusal/neglect to accept or pay for certificate.
 6. Revocation shall be signified under hand of an authorised officer, with notice given to holder.
 7. Title of the holder is extinguished upon receipt of notice or as specified therein.
-

Section 29 – Compensation on revocation

1. If revoked under Section 28(2)(b) or 28(3)(a)–(c), holder and occupier are entitled to compensation for unexhausted improvements.
2. If revoked under Section 28(2)(c) or 28(3)(b), compensation is under the **Minerals and Mining Act** or **Petroleum Act**.
3. Where compensation is payable to a community, it may be paid:
 - (a) To the community directly;
 - (b) To the chief/leader for community benefit;
 - (c) Into a fund specified by the Governor.
4. Compensation shall cover:
 - (a) **Land:** Equal to the annual rent paid in year of revocation;
 - (b) **Buildings/Improvements:** Replacement cost (assessed by prescribed method)

less depreciation, plus interest;

(c) **Crops:** Value as prescribed and determined by appropriate officer.

5. Where land revoked is part of a larger area, compensation shall be proportionate.
 6. If improvements exist, compensation shall be computed as per subsections (4) and (5).
 7. “Installation” means mechanical apparatus or equipment fixed on land, excluding building fixtures.
-

Section 30 – Reference of disputes on compensation

Any dispute on compensation shall be referred to the Land Use and Allocation Committee.

Section 31 – Exclusion of Public Lands Acquisition Act

The **Public Lands Acquisition (Miscellaneous Provisions) Act, 1976** does not apply to land vested in or revoked under this Act.

Section 32 – Debt to Government not extinguished by revocation

Revocation does not extinguish any debt due to Government under the right of occupancy.

Section 33 – Option of resettlement in case of revocation

1. Where a developed residential land is revoked, the Governor or Local Government may offer resettlement in lieu of monetary compensation.
2. If resettlement is more valuable than compensation, the excess may be treated as a loan repayable by the person resettled.
3. Acceptance of resettlement extinguishes claim to further compensation.

PART VI – TRANSITIONAL AND OTHER RELATED PROVISIONS

Section 34 – Transitional provisions on land in urban areas

1. This section applies to land in urban areas vested in any person immediately before commencement of this Act.
2. **Where the land is developed:**
 - The holder shall continue to hold the land as if granted a statutory right of occupancy by the Governor.
3. A certificate of occupancy shall be issued upon application if the Governor is satisfied that the land was vested in that person before commencement of the Act.
4. **Where such land was subject to mortgage or encumbrance:**
 - It shall continue subject to same, unless inconsistent with this Act.
5. **Where the land is undeveloped:**
 - (a) One plot, not exceeding 0.5 hectare, shall be retained by the holder as if granted a statutory right of occupancy.
 - (b) The remainder shall be taken over by the Governor, and the holder's rights extinguished.
6. If a person held other undeveloped land elsewhere in an urban area at commencement:
 - (a) Only one plot (0.5 hectare) in total may be retained;
 - (b) The rest shall revert to the Governor.
7. Land retained under subsections (5) or (6) shall not be subdivided or transferred without the Governor's consent.
8. Any instrument attempting to transfer such land without consent is void, and the parties commit an offence punishable by one year's imprisonment or a fine of ₦5,000.
9. The Governor shall issue a certificate of occupancy for land retained, upon application.

Section 35 – Compensation for improvements in certain cases

1. Section 34 applies notwithstanding that the land was leasehold or part of an estate. If improvements were effected by the holder of the leasehold interest or reversion, compensation shall be payable as per section 29.
 2. Any development levy or similar charges already paid by the lessee to the holder of the reversion shall be deducted from compensation.
-

Section 36 – Transitional provisions on land not in urban areas

1. This section applies to land outside urban areas held or occupied immediately before commencement of this Act.
 2. **Where land was used for agriculture:**
 - The occupier/holder shall continue in possession as if granted a customary right of occupancy.
 - “Agricultural purposes” includes land allowed to lie fallow under customary practice.
 3. The local government shall register such holder/occupier upon application with diagram or description of land.
 4. **Where land was developed:**
 - The occupier shall continue to hold it as if granted a customary right of occupancy by the local government.
 - Upon application with a diagram, the local government shall register the right.
 5. Such land shall not be subdivided, laid out in plots, or transferred by the holder.
 6. Any instrument attempting to transfer such land is void, and the parties are guilty of an offence punishable by ₦5,000 fine or one year imprisonment.
-

Section 37 – Penalty for false claims

Any person who unlawfully enters land or makes false claims in respect of land under this Act shall be guilty of an offence and liable to one year imprisonment or a fine of ₦5,000.

Section 38 – Preservation of Governor’s power to revoke

Nothing in this Part prevents the Governor or Local Government from revoking rights of occupancy in accordance with this Act.

PART VII – JURISDICTION OF COURTS

Section 39 – Jurisdiction of High Courts

1. The High Court has exclusive jurisdiction over:
 - (a) Proceedings relating to statutory rights of occupancy granted or deemed granted by the Governor;
 - (b) Questions regarding entitlement to compensation for improvements.
 2. Rules of court applicable to High Courts shall apply with modifications necessary to give effect to this Act.
-

Section 40 – Special provisions for pending proceedings

Any land disputes pending at commencement of this Act shall continue and be disposed of by the relevant court, but judgments shall only determine entitlement to rights of occupancy under this Act.

Section 41 – Jurisdiction of Area or Customary Courts

Area courts, customary courts or equivalent courts shall have jurisdiction over proceedings relating to customary rights of occupancy granted by local governments.

Section 42 – Proceedings for recovery of rent

1. Rent payable under a certificate of occupancy may be recovered in a magistrate's court by the Chief Lands Officer or authorised officer.
2. Rent under a customary right of occupancy may be recovered in the area/customary court by the local government.

PART VIII – SUPPLEMENTAL

Section 43 – Prohibition of unauthorised use of land and penalties

1. From commencement of this Act, no person shall in an urban area:
 - (a) Erect any building, wall, fence or other structure upon; or
 - (b) Enclose, obstruct, cultivate or do any act on,

any land not subject to a right of occupancy or licence lawfully held by him, or in respect of which he has not received the Governor's permission.

2. The Governor may require such a person to remove the structure or obstruction and restore the land.
 3. A person who contravenes subsection (1) commits an offence and is liable on conviction to one year imprisonment or a fine of ₦5,000.
 4. A person who fails to comply with a Governor's requirement under subsection (2) commits an offence and is liable to a fine of ₦100 for each day of default.
-

Section 44 – Service of notices

Any notice required by this Act shall be deemed properly served if:

- (a) Delivered personally to the person concerned;
 - (b) Left at his usual or last known residence;
 - (c) Sent by prepaid registered post to his last known address;
 - (d) Delivered to the secretary/clerk of an incorporated body at its registered/principal office;
- or
- (e) Where the name or address cannot be ascertained, addressed to "holder" or "occupier" of the land and affixed to the premises.
-

Section 45 – Delegation of powers

1. The Governor may delegate powers under this Act to the State Commissioner, subject to restrictions.
 2. Certificates granted under delegated authority shall be expressed to be granted on behalf of the Governor.
-

Section 46 – Power to make regulations

1. The **National Council of States** may make regulations to carry this Act into effect, including:
 - (a) Transfer of rights of occupancy;
 - (b) Special contracts (section 8);
 - (c) Certificates of occupancy (section 9);
 - (d) Temporary rights of occupancy;
 - (e) Method of assessment of compensation (section 29).
 2. The Governor may also make regulations relating to:
 - (a) Applications for licences or permits;
 - (b) Procedure for revising rents;
 - (c) Fees payable under this Act;
 - (d) Forms for documents.
-

Section 47 – Exclusion of certain proceedings

1. This Act applies notwithstanding any contrary law, including the Constitution. Courts shall not inquire into:
 - (a) Vesting of land in the Governor;
 - (b) Governor's right to grant statutory rights of occupancy;
 - (c) Local government's right to grant customary rights of occupancy.
 2. Courts shall not inquire into adequacy of compensation paid under this Act.
-

Section 48 – Modification of existing laws

All existing land registration and title transfer laws shall be modified to conform to this Act.

Section 49 – Exemption with respect to Federal Government lands

1. Nothing in this Act affects titles to land vested in the Federal Government or its agencies at commencement.
 2. "Agency" includes statutory corporations, statutory bodies, and wholly-owned Federal companies.
-

Section 50 – Validity of laws, etc.

1. All laws, regulations, contracts, executive and judicial acts made between commencement of this Act and 30th September 1979 by State authorities shall be deemed valid and effective under this Act.
 2. Instruments relating to land allocations made during that period shall also be deemed valid.
-

Section 51 – Interpretation

In this Act, unless the context otherwise requires:

- “Agricultural purposes” includes planting of crops of economic value.
- “Appropriate officer” means the Chief Lands Officer of a State (or Chief Federal Lands Officer for FCT).
- “Customary right of occupancy” means rights to land lawfully held under customary law, including rights granted by local government.
- “Developed land” means land with improvements such as roads, water, electricity, drainage, buildings, or works enhancing value.
- “Easement” means a right annexed to land to use another land in a particular way.
- “Government” means Federal or State Government.
- “Governor” means Governor of the State concerned.
- “High Court” means the High Court of the State concerned.
- “Holder” means a person entitled to a right of occupancy.
- “Improvements” means permanent works such as buildings, plantations, fencing, wells, roads, irrigation, etc.
- “Local government” means the appropriate local authority.
- “Occupier” means any lawful occupant under customary law.
- “Public purposes” includes:
 - (a) Exclusive government or public use;
 - (b) Use by statutory bodies or companies owned by government;
 - (c) Sanitary improvements;
 - (d) Development projects (railways, roads, electricity, telecoms, mining, planned urban/rural settlements, industrial, agricultural, educational and social services).
- “Statutory right of occupancy” means a right granted by the Governor.
- “Urban area” means areas designated by the Governor under section 3.

(2) In the FCT or Federal lands, powers of the Governor are exercisable by the President or a Minister designated by him.

Section 52 – Short title

This Act may be cited as the **Land Use Act, 1978**.
